

**Question #1 of 49**

Question ID: 1590532

Compared to the Sharpe ratio, the Sortino ratio may be preferred when comparing hedge funds due to which of the following?

- A)** The high volatility of hedge funds.
  - B)** The right-tail risk of hedge funds.
  - C)** The left-tail risk of hedge funds.
- 

**Question #2 of 49**

Question ID: 1590530

A process which is helpful for creating linear conditional factor models that avoid multicollinearity is:

- A)** step-wise regression analysis.
  - B)** correlation residual factor analysis.
  - C)** mean-variance collinearity analysis.
- 

**Question #3 of 49**

Question ID: 1590503

Managed futures strategies are typically characterized as:

- A)** a strategy with a return profile that tends to be very counter-cyclical.
  - B)** a highly liquid strategy, active across a wide range of asset classes, and able to go long or short with relative ease.
  - C)** an diversifying strategy to consider in rising markets as they outperform equity markets in rising markets.
- 

**Question #4 of 49**

Question ID: 1590511

Hedge Fund T is a hedge fund that employs market neutral, opportunistic, and specialist strategies as part of its operations. A hospital endowment fund hires Hedge Fund T to manage part of its portfolio. This situation is *best* described as:

- A)** a global macro fund.
  - B)** a multistrategy fund.
  - C)** a fund-of-fund.
- 

### Question #5 of 49

Question ID: 1590490

Which of the following *best* represents the net short position of a short-biased hedge fund strategy?

- A)** 100%.
  - B)** 0%.
  - C)** 50%.
- 

### Question #6 of 49

Question ID: 1590486

The failure of a merger to occur is a risk of which of the following hedge fund strategies?

- A)** Opportunistic.
  - B)** Equity related.
  - C)** Event driven.
- 

### Question #7 of 49

Question ID: 1590512

Which of the following is a disadvantage of a multistrategy fund as opposed to a fund-of-funds?

- A)** Volatility of returns.
- B)** Fee structure.
- C)** Operational risk.

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**Question #8 of 49**

Question ID: 1590488

Which general statement describing key differences between long/short equity (L/S) strategies and equity market neutral (EMN) is *most accurate*?

- A)** L/S strategies typically have more concentrated portfolios than EMN strategies, use lower leverage than EMN, and target unlevered returns that are higher than EMN. EMN strategies rely on selecting securities with sufficient liquidity, have longer security selection time horizons, and usually have greater leverage than L/S equity strategies.
  - B)** security selection time horizons, and usually have greater leverage than L/S equity strategies.
  - C)** EMN strategies are less diversified than L/S strategies but typically use greater amounts of financial leverage to generate returns than L/S strategies.
- 

**Question #9 of 49**

Question ID: 1590504

Catalysts for global macro hedge funds outperformance include:

- A)** muted volatility in periods of quantitative easing and p/e multiples can expand across the globe.
  - B)** steep equity market sell-offs, interest rate changes, currency devaluations, volatility spikes and geopolitical shocks.
  - C)** low and stable interest rates, steady trending equity global markets and tight credit spreads.
- 

**Question #10 of 49**

Question ID: 1590485

Which one of the following is *least likely* considered to be an argument to include hedge funds in a diversified portfolio?

- A)** Access to a larger investment universe.
- B)** Greater transparency of investment management decisions and ability to pursue more aggressive strategies.
- C)** Flexibility to use short selling and derivative contracts and greater use of leverage.

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**Question #11 of 49**

Question ID: 1590492

The hedge fund strategy that typically requires the longest time commitment and has the greatest variability of investment returns is:

- A)** distressed securities.
  - B)** fixed income arbitrage.
  - C)** merger and acquisition funds.
- 

**Question #12 of 49**

Question ID: 1590491

The payoff profile of merger arbitrage positions is similar to the return on:

- A)** a risky bond, short a call and long a put.
  - B)** a riskless bond, short a put, and long a call.
  - C)** a riskless bond, short a call, and short a put.
- 

**Question #13 of 49**

Question ID: 1590496

Because convertible securities are issued sporadically by smaller companies in small offering sizes with unrated debt, the value of the embedded option tends to trade at:

- A)** relatively low implied volatility levels compared with realized volatility for the underlying equity.
  - B)** a discount to the implied equity volatility of the underlying equity.
  - C)** a premium to implied volatility of the underlying equity.
- 

A hedge fund analyst working for a corporate pension fund uses a conditional linear factor risk model to identify the sources of return for the hedge fund Uno Investments (UNO).

Through stepwise regression, the model identifies four independent factors:

1. Equity risk (SNP500)
2. Currency risk (USD)

3. Credit risk (CREDIT)

4. Volatility risk (VIX)

Using monthly returns for the last 10 years, the coefficient estimates from the model and corresponding *t*-statistics are displayed in **Exhibit 1: Conditional Linear Factor Model Coefficients for UNO**.

**Exhibit 1: Conditional Linear Factor Model Coefficients for UNO**

| UNO                        |          |                     |
|----------------------------|----------|---------------------|
| Coefficient                | Estimate | <i>t</i> -Statistic |
| Normal Times               |          |                     |
| USD                        | 0.095    | 0.65                |
| CREDIT                     | 0.015    | 0.12                |
| SNP500                     | 0.678    | 7.42                |
| VIX                        | −0.183   | −2.67               |
| Crisis Times (Incremental) |          |                     |
| DUSD                       | 0.327    | 1.49                |
| DCREDIT                    | −0.251   | −2.20               |
| DSNP500                    | −0.189   | −2.35               |
| DVIX                       | +0.054   | +2.88               |

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UNO is an equity long/short fund with the following statement in its fund documents regarding its strategy:

UNO is a sector-focused long/short manager that aims to identify attractive alpha-generating opportunities on both the long and short side in the biotechnology sector. The fund uses a two-pronged approach: a team of research analysts work with the fund manager to identify the best bottom-up investments in the biotechnology sector, while macro-focused analysts work with the fund manager to apply overlay strategies using futures and options to adjust the market exposure of the fund.

The analyst uses the model to assess global macro hedge fund managers in their investment universe for superior market timing skills. They base their assessment on the signs and statistical significance of the coefficients of the model.

The investment committee of the corporate pension fund has asked the investment management team to review the rationale for including an allocation to hedge funds in the pension portfolio.

### Question #14 - 17 of 49

Question ID: 1590535

Based on the data in **Exhibit 1: Conditional Linear Factor Model Coefficients for UNO** and the statement from the fund documents regarding UNO's strategy (and assuming that a t-statistic with an absolute value greater than 2 is significant), which of the following statements is *most accurate*?

- A) The macro analysts have exhibited good market timing skill with respect to equity risk.
  - B) UNO has been, on average, net short equity market risk during times of market crisis.
  - C) The macro analysts have exhibited poor market timing skill with respect to equity risk.
- 

### Question #15 - 17 of 49

Question ID: 1590536

Based on the data in **Exhibit 1: Conditional Linear Factor Model Coefficients for UNO**, which of the following statements regarding exposure of UNO to the volatility factor is *most accurate*?

- A) The manager has destroyed value through poor management of volatility exposure in crisis times versus normal times.

- B)** The manager has negative exposure to volatility in times of market crisis.
- C)** The macro analysts may be controlling for market exposure through long put positions on equity markets.
- 

### Question #16 - 17 of 49

Question ID: 1590537

A manager with superior market timing skills would exhibit which of the following statistically significant coefficients in the conditional linear factor model?

- A)** USD: negative, DUSD: positive, CREDIT: positive, DCREDIT: negative.
- B)** USD: positive, DUSD: negative, CREDIT: positive, DCREDIT: negative.
- C)** USD: negative, DUSD: negative, CREDIT: positive, DCREDIT: positive.
- 

### Question #17 - 17 of 49

Question ID: 1590538

Which of the following rationales is *least likely* to be appropriate when justifying a 20% allocation to hedge funds in a multi-asset portfolio such as a corporate pension plan?

- A)** The allocation will decrease portfolio volatility.
- B)** The allocation will increase portfolio risk-adjusted return.
- C)** The allocation will increase portfolio return.
- 

Leigh Winstanton is a relative value hedge fund manager. She is currently analyzing government bond and swaps markets for pricing discrepancies, collating the data displayed as follows:

- 5-year Treasury Inflation-Protected Securities (TIPS) coupon rate: 1% (priced at par)
- 5-year Treasury bond coupon rate: 3% (priced at par)
- 5-year inflation swap fixed rate: 1.5%

Winstanton also engages in convertible bond arbitrage trades. She collates data on a potential convertible arbitrage trade in the securities of Triste, Inc. (TST), a medium-sized manufacturer of agricultural equipment, displayed as follows:

- TST has in issue a 2-year 4% annual coupon convertible bond, priced at 115

- The conversion ratio of the TST convertible bond is 25 shares per USD 1,000 par
- Current price of TST shares is USD 50 per share
- Borrowing costs are USD 0.60 per year, per share
- Dividend per share is expected to be USD 1 per year, per share

Winstanton is investigating whether there is an immediate arbitrage opportunity from buying the convertible bond and converting into shares. Winstanton is also interested in how carrying this convertible bond arbitrage position through time will likely affect the profitability of the trade.

Winstanton is looking to hire a volatility trader to execute trades with the objective of hedging the exposure of the fund's existing relative value positions to large, unexpected movements in spreads and prices in times of market stress.

### Question #18 - 21 of 49

Question ID: 1590519

To capture the pricing discrepancy between the Treasury bond market and the swaps market, Winstanton should execute which of the following trades?

- A)** Buy Treasuries, Sell TIPS, pay fixed under inflation swap.
  - B)** Sell Treasuries, sell TIPS, receive fixed under inflation swap.
  - C)** Buy Treasuries, buy TIPS, pay fixed under inflation swap.
- 

### Question #19 - 21 of 49

Question ID: 1590520

The immediate arbitrage profit from buying the TST convertible bond and converting into shares is *closest* to:

- A)** USD 6 per share.
  - B)** USD 4 per share.
  - C)** USD 10 per share.
- 

### Question #20 - 21 of 49

Question ID: 1590521

Introducing the costs and benefits of carrying the convertible arbitrage trade through time will:

- A)** increase the profitability of the trade.
  - B)** decrease the profitability of the trade.
  - C)** have no impact on the profitability of the trade.
- 

### Question #21 - 21 of 49

Question ID: 1590522

Considering the objective of the new volatility trader, which of the following volatility trading strategies would *most likely* be appropriate for adding to the fund?

- A)** Long positions in OTC options.
  - B)** Roll down using VIX futures.
  - C)** Relative value volatility arbitrage using exchange-traded options.
- 

### Question #22 of 49

Question ID: 1590494

Institutional limitations on banks and insurance companies are *most likely* to lead to pricing inefficiencies in which type of strategy?

- A)** Volatility trading.
  - B)** Distressed securities.
  - C)** Global macro.
- 

### Question #23 of 49

Question ID: 1590531

Including which of the following hedge fund strategies in a diversified portfolio is *least likely* to mitigate drawdowns?

- A)** Global macro.
- B)** Distressed securities.
- C)** Equity market-neutral.

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**Question #24 of 49**

Question ID: 1590487

Opportunistic hedge fund strategies employ:

- A)** long and short positions in equity.
  - B)** an investment in distressed debt.
  - C)** a top-down approach.
- 

**Question #25 of 49**

Question ID: 1590528

A conditional factor risk model is used in analyzing hedge fund returns. The purpose of the dummy variable in that model is to distinguish between:

- A)** periods of normal market activity and financial crises.
  - B)** funds in countries with high inflation and low inflation.
  - C)** managed funds and passive funds.
- 

**Question #26 of 49**

Question ID: 1590510

Two key advantage of multi-strategy hedge funds over fund-of-funds managers are:

- A)** economies of scale as different hedge fund strategies share the same administrative costs, and greater left tail risk than fund-of-funds.  
the ability and knowledge to rapidly make tactical reallocation decisions to the firm's
  - B)** strategic allocation based on changing market conditions, and greater visibility to assess the overall risk exposure.
  - C)** more attractive fees for investors than fund-of-funds managers, and a greater level of diversification than fund-of-funds provide.
- 

**Question #27 of 49**

Question ID: 1590506

Which of the following is a characteristic of a managed futures strategy as a result of crowding?

- A) Price inefficiency.
  - B) High leverage.
  - C) Execution slippage.
- 

### Question #28 of 49

Question ID: 1590533

A traditional 60% equity/40% fixed income allocation was adjusted by adding a hedge fund to the portfolio, resulting in the following allocation: 48% equity/32% fixed income/20% hedge fund. There was no reduction in the standard deviation of the portfolio after the addition of the hedge fund. The hedge fund *most likely* added was:

- A) a dedicated short bias fund.
  - B) a distressed securities fund.
  - C) a bear market equity fund.
- 

### Question #29 of 49

Question ID: 1590529

Which of the following is *least likely* included in the four-factor, conditional linear model used to quantify hedge fund strategies' risk exposures?

- A) Credit risk.
  - B) Volatility risk.
  - C) Interest rate risk.
- 

### Question #30 of 49

Question ID: 1590508

Hedge Fund Z follows a short volatility strategy, while Hedge Fund Y makes insurance investments. Which of the following is *most accurate* concerning the funds?

- A) Z has a natural hedge against market declines.

- B)** Z's strategy is neither positively nor negatively correlated with the market.
- C)** Y's investments will be largely uncorrelated with market movements.

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Christine Kelly is chief investment officer of Pontoon Asset Management (PAM), a large multi-strategy hedge fund. She is meeting with all the management teams at PAM to understand their recent performance and current market positioning.

Kelly first meets with Nicola Shore, head of the equity long/short team. Shore describes a recent pairs trade executed in two retailers: Homestore (HOM) and Sarks (SAR). Shore explains that the team took a long position in HOM and a beta-neutral short position in SAR with the expectation that HOM will execute a better business model, with respect to the migration from physical to online retailing. Kelly notes that HOM has a stock market beta of 1.1 and a stock price of USD 40, and SAR has a stock market beta of 0.55 and a stock price of USD 80.

Kelly next meets with Luca Cohen, head of the merger arbitrage team. Cohen states that due to increasing competition and a reduction in opportunities in their traditional hard-catalyst investment universe, the team has begun executing more soft-catalyst trades. Kelly asks Cohen how this is likely to affect the risk and return of the investments in the future.

Kelly asks about recent trades executed by the team and Cohen presents details regarding the details of a hard catalyst trade executed in relation to a merger between Bigco (BIG) and Small, Inc. (SMA), displayed in **Exhibit 1: Details on Merger Arbitrage Trade in BIG and SMA**:

**Exhibit 1: Details on Merger Arbitrage Trade in BIG and SMA**

|                                                  |                                      |
|--------------------------------------------------|--------------------------------------|
| <b>Deal Terms</b>                                | 0.5 shares of BIG for 1 share in SMA |
| <b>BIG share price (pre-) deal announcement</b>  | USD 54                               |
| <b>BIG share price (post-) deal announcement</b> | USD 52                               |
| <b>SMA share price (pre-) deal announcement</b>  | USD 23                               |
| <b>SMA share price (post-) deal announcement</b> | USD 25                               |
| <b>Market value of position in SMA</b>           | USD 10,000,000                       |

Finally, Kelly meets with Alan Rode, head of the distressed securities team at PAM. Kelly has the least knowledge regarding distressed strategies out of all of the hedge fund strategies and asks Rode to describe recent trades undertaken by the fund. Rode presents to Kelly a capital structure arbitrage trade in a large retail department store company.

### Question #31 - 34 of 49

Question ID: 1590499

In order to establish a beta-neutral pairs trade, relative to the number of shares bought in the long position in HOM, Shore should short sell:

- A) the same number of shares in SAR.
  - B) double the number of shares in SAR.
  - C) half the number of shares in SAR.
- 

### Question #32 - 34 of 49

Question ID: 1590500

The increase in soft-catalyst trades by the merger arbitrage team will be expected to:

- A) increase the return and decrease the risk of the team.
  - B) decrease both the risk and return of the team.
  - C) increase both the risk and return of the team.
- 

### Question #33 - 34 of 49

Question ID: 1590501

The ratio of potential losses if the deal fails versus the potential gains if the deal succeeds for the BIG/SMA merger arbitrage trade is *closest* to:

- A) 4.
  - B) 3.
  - C) 5.
- 

### Question #34 - 34 of 49

Question ID: 1590502

Which of the following statements regarding a capital structure arbitrage trade is *most accurate*?

- A) Capital structure arbitrage trades are not expected to be profitable when the distressed company is forced into liquidation.
- B) Capital structure arbitrage opportunities usually occur due to equity retail investors being too bearish on the fortunes of a distressed company versus the outlook of debt investors in the company.
- C) Capital structure arbitrage trades can result in the investor taking an equity stake in new equity of the distressed company post-bankruptcy reorganization.

Question #35 of 49

Question ID: 1590507

The key factors an insurance settlements portfolio manager must successfully analyze include:

- A) the underlying interest rate on the policy, the early termination provisions of the contract, and the government bond yield curve.
- B) expected policy cash flows, ongoing premium payment obligations, and the eventual death benefit to be received.
- C) the probability that the insurance company will face financial pressure, the demeanor of the policy holder, and the age of the policyholder.

Bobby Berg is an investment analyst at Conduit Asset Management (CAM), a manager of a large fund of hedge funds. Berg is performing research into investments relating to catastrophe reinsurance and life settlements, a relatively new sector for hedge fund investment.

Berg meets with Michael Stern, a hedge fund manager who specializes in investments in the insurance sector. Stern discusses recent life settlement opportunities presented by insurance brokers and discusses their relative merits, the details of which are displayed in Exhibit 1.

Exhibit 1: Selected Life Settlement Opportunities

| Insurance Pool | Surrender Value (\$m) | Annual Premium (Percentage of Benefit) | Life Expectancy of Pool vs. Mortality Tables |
|----------------|-----------------------|----------------------------------------|----------------------------------------------|
|----------------|-----------------------|----------------------------------------|----------------------------------------------|

|   |      |       |         |
|---|------|-------|---------|
| A | 10.4 | 0.95% | Longer  |
| B | 9.2  | 0.87% | Shorter |
| C | 12.8 | 1.25% | Shorter |

Berg is performing due diligence on hedge fund managers that could potentially be added to the existing fund of hedge funds portfolio. She is aware of a recent motion passed at an investment committee meeting, which recorded the following short-term tactical objectives:

- Increase liquidity
- Decrease leverage
- Lower exposure of the fund to tail risks, such as acute credit weakness in markets

Berg considers how best to achieve these objectives when considering the existing style allocation of CAM.

CAM provides the following information on its fee structure to potential clients:

- CAM charges 1% management fee and 5% incentive fee
- The average underlying fund charges 1.5% management fee and 17.5% incentive fee

A client of CAM asks Berg about the relative merits of a fund-of-funds structure versus a multi-manager hedge fund structure. They are specifically interested in which structure would give the best result for investors, with respect to the following:

- Operational risk
- Speed of tactical asset allocation
- Fee netting risk

### Question #36 - 39 of 49

Question ID: 1590514

Using the data in Exhibit 1 and assuming that all other features of Insurance Pool A, Insurance Pool B, and Insurance Pool C are equivalent, the life settlement investment opportunity with the best expected return is *most likely* to be:

- A)** Pool C.
- B)** Pool A.
- C)** Pool B.

### Question #37 - 39 of 49

Question ID: 1590515

Considering all the short-term objectives specified in the recent investment committee motion, which of the following style allocation recommendations for CAM is *most likely* to be appropriate?

- A) Rotate from relative value strategies into equity strategies.
  - B) Rotate from equity strategies into opportunistic strategies.
  - C) Rotate from equity strategies into distressed securities funds.
- 

### Question #38 - 39 of 49

Question ID: 1590516

Based on the fee structure information provided, if CAM allocates equally to two managers—one of which makes a gross return of 8%, while the other manager realizes a gross return of -8%—the net return to CAM investors is *closest* to:

- A) 0.0%.
  - B) -1.5%.
  - C) -3.1%.
- 

### Question #39 - 39 of 49

Question ID: 1590517

How many of the three factors listed by the client of CAM would a fund-of-funds (FoF) structure be preferred to a multi-manager structure from the point of view of investors in the fund?

- A) Two.
  - B) None.
  - C) One.
- 

### Question #40 of 49

Question ID: 1590497

A convertible bond arbitrage portfolio has begun implementing a strategy by purchasing convertible bonds with conversion prices substantially below the current stock price. The convertible bonds will:

- A)** behave most like a straight bond.
  - B)** be impossible to hedge given the low delta.
  - C)** behave most like the underlying equity.
- 

**Question #41 of 49**

Question ID: 1590489

Long/short equity funds typically:

- A)** eliminate market exposure through a net beta of zero.
  - B)** reduce standard deviation to zero.
  - C)** maintain a net long equity exposure of 40–60%.
- 

**Question #42 of 49**

Question ID: 1590493

Distressed security investing generally:

- A)** involves shorting the securities of the distressed firm.
  - B)** produces lower returns than other event-driven strategies.
  - C)** uses low leverage.
- 

**Question #43 of 49**

Question ID: 1590505

Top down analysis is the key driver behind which of the following hedge fund strategies?

- A)** Fixed income arbitrage.
  - B)** Merger and acquisition.
  - C)** Global macro.
- 

**Question #44 of 49**

Question ID: 1590495

What are two liquidity issues that convertible arbitrage managers must successfully manage?

- A) Convert arbitrage is a relatively small investment strategy and traders compete with each other for attractive bonds and also for equity options to hedge with.
  - B) Investment grade issuance is highly cyclical and convertible bond managers are frequently unable to take positions in these bonds unless premiums are very low.
  - C) Issuance size tends to be small from relatively unproven companies and the shares to sell short may be difficult to locate and borrow.
- 

### Question #45 of 49

Question ID: 1590509

An advantage and a disadvantage of using fund-of-funds (FoF) for access to hedge fund are:

- A) The advantage of access to top ranked managers with smaller investment bite sizes and the disadvantage of no netting of performance fees.
  - B) The advantage of lower overall fee structures and the disadvantage of a lack of research capability.
  - C) The advantage of being able to access best of breed managers in each class of hedge fund and the disadvantage of negative economies of scale for monitoring.
- 

Glen Downing, CFA, recently took a new position as chief investment officer at Deep Dive Asset Management (Deep Dive), a hedge fund-of-funds (FoF) based in the Cayman Islands. Having worked only at mutual funds in the past, Downing is new to the hedge fund world and wants to get up to speed quickly to take advantage of what he believes to be exceptional market opportunities. Downing is particularly excited about the opportunities an FoF can offer, compared to that of individual hedge funds.

The first fund Downing considers for investment is Copernicus Management (Copernicus), a hedge fund that invests in many different asset classes. Copernicus's team relies on a top-down approach to screening potential investments, and the team's choice is often influenced by current market conditions. Downing will compare Copernicus to others in its peer group, but is unsure of how to classify the fund.

Another potential investment under consideration is APM International Advisors' global macro fund. APM management recently made the following claims during a sales pitch to Downing:

- **Claim 1:** "We tend to outperform other strategies in low-volatility markets."
- **Claim 2:** "Our strategies attempt to take advantage of markets that are not mean reverting."
- **Claim 3:** "Our high use of leverage—often in excess of 500% of capital—helps us to outperform other funds."

Finally, Downing is interested in a recent pitch made by Esoteric Investors (Esoteric), a hedge fund specializing in volatility trading. Downing has summarized Esoteric's pitch, breaking out its purported advantages into three parts:

- *Insurance-like returns.* Downing feels that adding Esoteric to his FoF should provide Deep Dive an exposure to insurance-like returns, because Esoteric often is a seller of VIX futures contracts.
- *Risk reduction.* Downing believes that adding an allocation to Esoteric will reduce overall portfolio risk due to the negative correlation between its long-volatility contracts and equity market returns.
- *Convexity.* Esoteric's salespeople told Downing that the fund's long-volatility positions exhibit strong negative convexity—another added benefit.

### Question #46 - 49 of 49

Question ID: 1590524

Downing's excitement about FoF investing would *least appropriately* be based on a belief that:

- A)** he can provide better liquidity terms to his individual investors.
  - B)** he may be able to invest in hedge funds closed to new investors.
  - C)** his investors will have more transparency in their investments.
- 

### Question #47 - 49 of 49

Question ID: 1590525

Copernicus's investment strategy would *most accurately* be classified as:

- A)** specialist.
  - B)** opportunistic.
  - C)** event driven.
-

**Question #48 - 49 of 49**

Question ID: 1590526

Which claim made by APM is *least accurate*?

- A)** Claim 3.
  - B)** Claim 2.
  - C)** Claim 1.
- 

**Question #49 - 49 of 49**

Question ID: 1590527

Esoteric's staff's statements regarding its volatility trading are *least accurate* regarding:

- A)** risk reduction.
- B)** convexity.
- C)** insurance-like returns.